

Strategic Management: Analytics

The value that a company creates is the sum of the outcomes of innumerable business decisions that its managers and staff take at every level, from choosing when to open the door to customers to deciding whether to acquire a new business. Successful strategic management encompasses all the tasks a company undertakes to achieve its strategic goals and create long-term value.

At the company's senior-management level, the following tasks are particularly important for creating value:

- Overseeing and developing corporate and business unit strategies
- Setting long-term targets for strategic and financial outcomes
- Allocating resources across the business portfolio (including mergers, acquisitions, and divestitures) and setting budgets to achieve strategic targets
- Managing performance by reviewing business unit results and deciding when and how to intervene
- Managing talent—in particular, creating effective incentives for managers

As value-minded managers navigate these tasks, traps abound. Primary among them is finding the right balance between generating profits in the short term and investing for value creation in the long term. This is one of management's most difficult challenges. Especially in companies with many businesses, markets, and management layers, decisions tend to be biased toward short-term profit, because it is the most readily available and widely understood performance measure. Investors, equity analysts, supervisory

directors, the press, and even internal reporting processes all contribute to this short-term bias.

Overcoming such obstacles in order to manage strategically requires fluency in two distinct yet interrelated disciplines. The first of these—and the subject of this chapter—is to apply an emphasis on strong analytics to ferret out sources of value and make the right decisions for value creation. The second is to establish and maintain effective strategic-management processes that orient the entire management team toward common goals. We take up the second discipline in Chapter 30.

The analytical discipline of strategic management should combine three processes. First, managers should adopt a fine-grained approach to setting targets and allocating resources, drilling down to the level of 20 to 50 or even more units or projects. Next, applying this granular approach, executives should rank investment opportunities and set priorities for them across the entire enterprise, using the lens of how each unit or project contributes to the company's overall success. Finally, in planning and monitoring performance, management should use not only financial performance metrics but also, and more importantly, approaches pegged to value drivers that combine long-term and short-term perspectives on value creation. These drivers can also include strategic, organizational, environmental, and social indicators.

ADOPTING A GRANULAR PERSPECTIVE

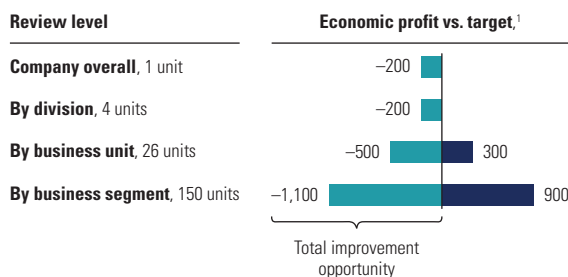
The larger the company and the more diversified its portfolio, the more likely executives are to allocate resources and manage performance using high-level metrics, such as corporate or divisional top-line growth, profit, and return on invested capital (ROIC).¹ Such metrics are understandable shorthand for comparing performance among multiple divisions and myriad business units. But like all averages, they tend to hide the outliers—the strongest and weakest performers, which are the ones most in need of promotion or correction. Exhibit 29.1 shows one example where the four divisions of a diversified industrial company each fell between 5 and 10 percent short of overall economic-profit goals, suggesting only modest underperformance. Yet a closer look found that two-thirds of the company's 150 business segments were underperforming on its economic-profit goals by as much as 40 percent, while the rest were outperforming enough to skew the averages. As a result, the opportunity for improvement turned out to be much larger than the executives had anticipated.

It's clear from this example that strategic management should take place at the level of business segments, so that senior management clearly sees where value is created, not at the corporate center. However, the management

¹ This section draws on M. Goedhart, S. Smit, and A. Veldhuijzen, "Unearthing the Sources of Value Hiding in Your Corporate Portfolio," *McKinsey on Finance*, no. 48 (Autumn 2013): 2–9.

EXHIBIT 29.1 Improvement Opportunity at Different Levels of Review

€ million

¹ Economic-profit target: €2,650 million

structure of division heads overseeing business units, business unit leaders supervising segment managers, and so on typically gets in the way of value-oriented decision making. Divisional managers like the “averaging” of business unit results, which enables them to achieve short-term targets for their division, possibly at the expense of long-term value creation.

In our experience, for a company earning \$10 billion in revenue, strategic management by corporate executives should typically take place at the level of at least 20 to 50 or sometimes more units or projects.² One rule of thumb is to further dissect businesses as long as underlying subsegments show significant differences in terms of growth and return on capital and are material in value relative to the company as a whole. Wherever managers find that their companies lack the necessary financial data, such as revenue, operating earnings, and capital expenditures, they will probably also find that they rely too heavily on averages when setting strategic priorities, financial targets, and resource budgets.

The finer-grained perspective we recommend offers several important benefits. First, it reveals more value-creation opportunities, as it dissects average performance and growth across the portfolio. For example, executives at one global company considered a consumer goods business in Asia to be the most successful in the company’s portfolio, because it consistently delivered double-digit top-line growth. But a more detailed analysis revealed that this business was losing market share because the relevant local markets were growing even faster—which would almost inevitably lead to lower value creation in the long term.

Second, taking a finer-grained perspective helps managers understand performance trends for business units that consist of several distinct product or market segments. While a higher number of segments might appear to complicate matters for executives and the corporate center, the reverse is often the case. For example, the aggregated growth rate and return on invested capital

² These segments are similar to what we have elsewhere called “value cells.” See, e.g., M. Giordano and F. Wenger, “Organizing for Value,” *McKinsey on Finance*, no. 28 (Summer 2008): 20–25.

for a business unit will continuously change over time if its underlying segments have different growth rates and returns on capital, even if these are stable for each segment. Unless you analyze performance at the segment level, it will be very difficult to understand and forecast the business unit performance.

Finally, a granular approach offers executives better information for direct and radical interventions at the level of individual units or projects, should stepping in become necessary. This can occur when a division-based structure leads to misaligned management incentives.³ For example, in one global industrial company, whenever one of the business units needed to achieve its overall profit target it would cut its research investments in breakthrough renewable-energy technology, although the technology had excellent potential to create long-term value. To remedy the situation, management separated out the renewable-energy project as an independent unit reporting directly to the executive team. Detached from the original business unit's profit goals, the new unit increased and stabilized these value-creating research investments.

TAKING THE ENTERPRISE VIEW

In addition to taking a granular view of strategic management, companies need to examine all resource allocation decisions (including capital expenditures, research and development, talent, and sales and marketing) in the context of the entire enterprise, not as single, stand-alone decisions and not as a part of a division or business unit.⁴

Taking the enterprise view means evaluating resource investments from the perspective of how they affect the company as a whole. This approach provides several benefits:

- It ensures that resources are allocated to where they will create the greatest value for the company as a whole, regardless of which division or business unit receives the resources.
- It helps overcome the inertia that leads to resources being allocated to the same units from year to year. Research shows that the best predictor of how companies typically allocate resources is last year's allocation. Yet companies that more actively reallocate resources create more value, translating into 30 percent higher total shareholder returns, on average.⁵
- It mitigates the negative effects of loss aversion—the tendency to pass on high-risk, high-reward investments because individuals tend to

³ Giordano and Wenger, "Organizing for Value."

⁴ This section draws on D. Lovallo, T. Koller, R. Uhlener, and D. Kahneman, "Your Company Is Too Risk-Averse," *Harvard Business Review* (March/April 2020), hbr.org.

⁵ S. Hall, D. Lovallo, and R. Musters, "How to Put Your Money Where Your Strategy Is," *McKinsey Quarterly* (March 2012), www.mckinsey.com.

weight losses more heavily than gains. Mid- and lower-level managers are typically too risk averse, attaching much more importance to potential losses than gains from investments (see Chapter 4). This applies even when the amounts at stake are small and any losses could be easily absorbed by the organization as a whole.⁶ Combining investment opportunities from different business units and segments typically generates diversification benefits, reducing the risk per dollar invested.⁷

Effective strategic management should aim to make allocation decisions for the entire company all at once or at least in groups, using some form of project ranking and prioritization across the company. Ideally, a company would apply a portfolio optimization model that incorporates risk correlations across potential investment projects. In Chapter 4 we discussed the example of a technology company that adopted this approach. Regardless of which division or business unit individual projects belong to, they are combined in alternative portfolios, and the portfolios are ranked by their aggregate return and risk.⁸ With this approach, a company can find the portfolio of projects that would provide the best balance between risk and return. For example, it can derive what would be the least risky portfolio that achieves an overall target rate of return.

A Simpler Alternative

Following the same underlying logic, a less technical approach can generate similar insights without explicit estimates of project risk correlations. Consider the example of a company that operates three business units, each with ten projects seeking investment. In this approach, the business units submit all their project proposals to the teams responsible for overseeing financial planning and analysis, corporate strategy, and other functions. Each proposal includes a range of possible present-value outcomes and an assessment of the associated risks. The corporate staff then simply ranks all 30 projects across the company based on their expected return, ignoring risk for the moment. Given a certain investment budget and based on this ranking, the staff determines which projects should be selected to maximize overall value creation, regardless of which business they belong to (see Exhibit 29.2).

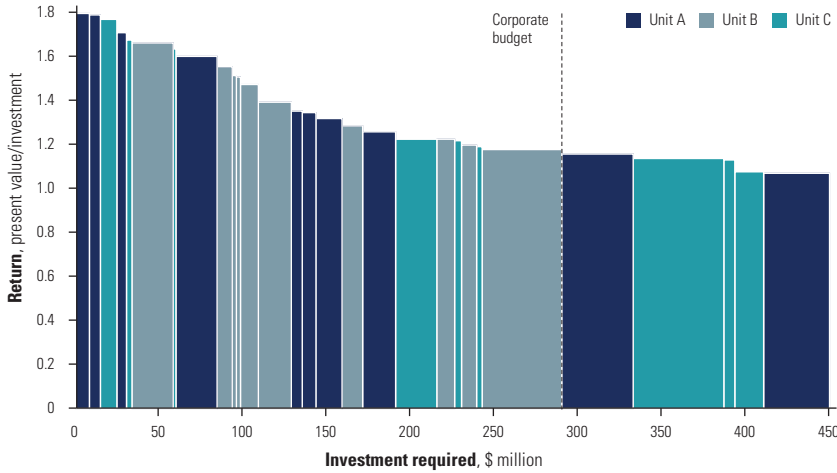
For this preliminary selection, the corporate staff assesses whether the overall risk profile is acceptable for the company as a whole. If the projects are largely uncorrelated, the aggregate risk per dollar invested for the selected

⁶ See T. Koller, D. Lovallo, and Z. Williams, "Overcoming a Bias against Risk," McKinsey & Company, August 2012, www.mckinsey.com.

⁷ As noted in Chapter 4, this does not mean that the company's cost of capital is lower. By definition, diversification cannot reduce a project's beta and cost of capital.

⁸ We measure return as expected PV/I (that is, present value divided by investment) and risk as the standard deviation of return.

EXHIBIT 29.2 Ranking of Investment Projects at Aggregate Portfolio Level



portfolio will be lower than for the individual projects. Of course, the risk reduction will be less for a portfolio of projects with returns that are positively correlated. Depending on the situation, the corporate staff could therefore exchange parts of the portfolio with less correlated projects from the next-best-ranked projects, to reduce aggregate portfolio risk, even though the reduction in risk will come at the expense of overall return.

The approach aims to create the best allocation from a corporate perspective, maximizing value creation with an acceptable risk profile for the company as whole. But it may well allocate investments unevenly from the viewpoint of the business units—for example, when one unit has very few proposals approved relative to others. If uneven allocations are the rule rather than the exception, that can be an important insight. Businesses that are unable to compete successfully for investment resources could be candidates for divestment to a better owner or should focus their strategy on cash generation rather than growth through investments.

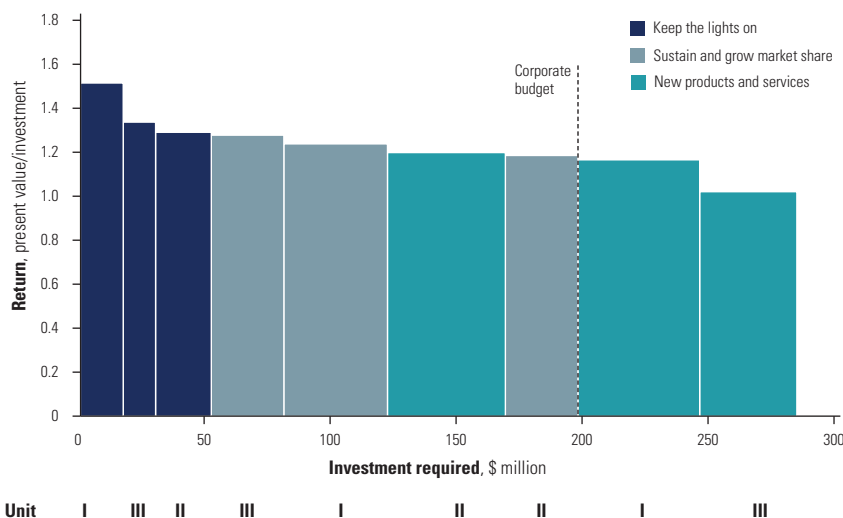
Allocating resources through project ranking and prioritizing should be done annually at the very least, preferably more frequently, depending on the length of projects. Of course, doing this at the corporate rather than business level might hamper an organization's ability to react quickly to new opportunities or information. Each organization will have to find the right balance between flexibility and efficiency in resource allocation. For example, some companies set up investment reserves for unforeseen initiatives. Others assign investment funds to projects on a conditional basis, so that allocations can be changed during the year if projects don't meet predetermined milestones. One

company we know devotes several weeks per year to discussion of resource allocation. Most of the company's investment decisions are made during these weeks, always in the context of the overall portfolio of projects. If certain investment decisions must be made outside this allocation cycle, their impact on the company's overall portfolio is analyzed separately.

When a company is faced with too many projects to assess individually, the approach can be easily modified. Instead of submitting all investment projects separately, the business units could propose tranches of logically grouped projects. For example, the units could submit a tranche of \$50 million investments just to "keep the lights on," a second tranche of \$100 million projects to maintain market share and growth with their market, and a third tranche that might provide \$100 million for some new products or services or enhancements to customer service. The investment proposal for each tranche would include an estimated value and risk profile. Then the corporate staff would rank and prioritize the tranches (rather than the individual projects) across all business units, following the same logic as described earlier. Some units would receive all three tranches, others only one or two, as shown in Exhibit 29.3.

Sometimes business units need to consider projects that address critical threats or opportunities but also have significant investment needs and/or risks, even from a corporate perspective. In a hybrid approach, such projects could be classified as strategic if they exceed certain limits for investment and risk; the limits could be predetermined by, for example, the company's CEO

EXHIBIT 29.3 **Ranking by Tranches of Investment Opportunities**



and CFO. The strategic projects are then included alongside the business unit tranches in the overall ranking. This approach ensures that critical strategic projects are highlighted for discussion and funding at the level of the company's executive leadership, rather than by business unit management.

APPLYING VALUE DRIVERS TO MONITOR PERFORMANCE

Analyzing business units and projects at a fine-grained level while allocating investment opportunities across the entire enterprise unveils the promise of managing strategically. In many companies, communication between management layers revolves entirely around missing or hitting profit targets for divisions, business units, and other groups. Strategic management, done well, helps an organization's various layers communicate frankly and effectively. Managers gain leeway to manage while assuring their bosses that agreed-upon levels of performance will be achieved. They can also carefully disaggregate such targets to business segments that can be individually monitored and managed. Attention shifts to the long-term, value-creating potential behind short-term profit targets and the adjustments needed to achieve long-term performance goals.

To plan and monitor progress, it is critical to understand what drives long-term performance. Think of a patient visiting the doctor. The patient may be feeling fine, in the sense of meeting requirements for weight, strength, and energy. But if the patient's cholesterol is above the target level that medical science has established as safe, the patient may need to take corrective action now to prevent future heart disease. Similarly, if a company shows strong growth and return on invested capital (ROIC), it still needs to know whether that performance is sustainable. Comparing readings of company health indicators against meaningful targets can tell us whether a company has achieved impressive past financial results at a cost to its long-term health, perhaps crippling its ability to create value in the future. Companies should look beyond the usual health indicators for business performance to also assess their health on environmental, social, and governance criteria, as these measures are sometimes even more important for sustaining value creation over the long term (see Chapter 6).

To see the difference between companies' recorded performance and their long-term health, consider the pharmaceutical industry. In the year after the patent on a drug expires, sales of that drug for the patent owner often decline by 50 to 75 percent or more, as producers of generics lower prices and steal market share. Investors know that future profits will suffer when a major product will be going off patent in a couple of years with no replacement on the horizon. In such a case, the company could have strong current performance but a poor performance outlook reflected in a low market value,

because market values reflect long-term health, not just short-term profits. Or consider retail chains that sometimes maintain apparently impressive margins by scrimping on store refurbishment and brand building, to the detriment of their future competitive strength.

To effectively manage short-term and long-term performance, companies should identify and understand the underlying value drivers of their businesses. Based on these insights, they should develop a coherent set of actionable metrics that are tailored to their business and set appropriate targets against which to monitor results.

Identifying Value Drivers

We can gain insight into a company's health by examining what drives long-term growth and ROIC, the key drivers of value creation. A systematic method for analytically and visually linking a business's unique value drivers to financial metrics and shareholder value is the value driver tree. It breaks down each element of financial performance into value drivers.

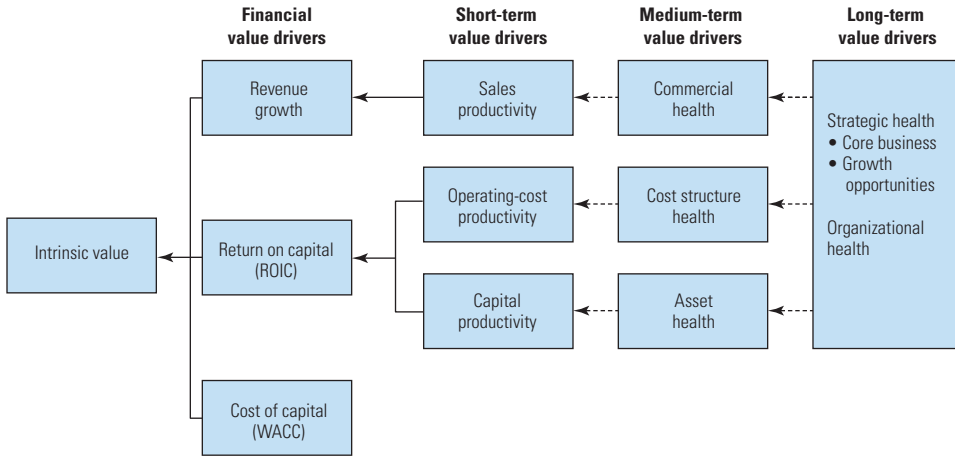
The value driver tree in Exhibit 29.4 illustrates the basic kinds of value drivers. The left side of the exhibit shows the financial drivers of intrinsic value: revenue growth and ROIC.⁹ Proceeding to the right, the exhibit calls out short-term value drivers, followed by medium- and long-term value drivers. The choice of a particular value driver, along with metrics and targets for testing and strengthening each one, should vary from company to company, reflecting each company's different sectors and aspirations.

Companies should choose their own set of value drivers and metrics, under the generic headings set out here, and tailor their choice to their industry and strategy. Such tailoring is critical for setting the right strategic priorities. For example, product innovation may be important to companies in one industry, while for companies in another, tight cost control and customer service may matter more. For companies in electric power generation, the growth of generation from renewable resources may well be critical over the next decade. The way executives set priorities for value drivers should reflect these differences. Similarly, an individual company will have different value drivers at different points in its life cycle.

Every company will need to develop its own appropriate value drivers and metrics. The generic categories of short-, medium-, and long-term drivers presented in Exhibit 29.4 offer a practical starting point for analysis. Using them will ensure that a company systematically explores all the important drivers.

⁹ Cost of capital is also a driver of company value, but it is largely determined by the company's industry sector and is difficult for management to influence.

EXHIBIT 29.4 Value Driver Tree with Three Horizons



Short-Term Value Drivers Short-term value drivers are the immediate drivers of ROIC and growth. They are typically the easiest to quantify and monitor frequently (monthly or quarterly). They are indicators of whether current growth and ROIC can be sustained, will improve, or will decline over the short term. They might include cost per unit for a manufacturing company or same-store sales growth for a retailer.

Following the growth and ROIC framework in Exhibit 29.4, short-term value drivers fall into three categories:

1. *Sales productivity* refers to drivers of recent sales growth, such as price and quantity sold, market share, the company's ability to charge higher prices relative to peers (or charge a premium for its product or services), sales force productivity, and for retailers, same-store sales growth versus new-store growth.
2. *Operating-cost productivity* includes drivers of unit costs, such as the component costs for building an automobile or delivering a package. UPS, for example, is well known for charting the optimal delivery path of its drivers to enhance their productivity and for developing well-defined standards on how to deliver packages.
3. *Capital productivity* measures how well a company uses its working capital (inventories, receivables, and payables) and its property, plant, and equipment. Dell revolutionized the personal-computer business in the 1990s by building to order so it could minimize inventories. Because the company kept inventory levels so low and had few receivables to boot, it could on occasion operate with negative working capital.

When assessing drivers of short-term corporate performance, separate the effects of forces outside management's control (both good and bad) from things management can influence. For instance, executives of upstream oil companies shouldn't get much credit for higher profits that result from higher oil prices, nor should real estate executives be credited for higher real estate prices (and the resulting higher commissions). Oil company performance should be evaluated with an emphasis on new reserves and production growth, exploration costs, and drilling costs. Real estate brokerages should be evaluated primarily on the number of sales, not whether housing prices are increasing or decreasing.

Medium-Term Value Drivers Medium-term value drivers look forward to indicate whether a company can maintain and improve its growth and ROIC over the next one to five years (or longer for companies such as pharmaceutical manufacturers that have long product cycles). In most cases, there is no clear mathematical relation between these drivers and financial performance in terms of ROIC and growth. These drivers may also be harder to translate into metrics than short-term drivers and are more likely to be measured or assessed annually or over even longer periods.

The medium-term value drivers fall into three categories:

1. *Commercial health* indicates whether the company can sustain or improve its current revenue growth. Drivers in this category include the company's product pipeline quality (talent and technology to bring new products to market over the medium term), brand strength (investment in brand building), and customer satisfaction. Commercial-health metrics vary widely by industry and over time. In branded consumer product sectors, such as packaged food and personal products, minimizing the use of scarce resources and trading fairly with suppliers are becoming more relevant as health indicators of a company's product line in some categories. For a pharmaceutical company, the obvious priority is its product pipeline. For a telecom service provider, customer satisfaction and brand strength may be the most important components of medium-term commercial health. For a consumer electronics company, multiyear price trends for its individual products are an important indicator, as steadily declining prices often indicate lack of innovation compared with competitors.
2. *Cost structure health* is a company's ability to manage its costs relative to competitors over three to five years. For an automotive manufacturer, the number of shared platforms and components across its model range is an important driver. Insights in cost health drivers often follow from programs such as Six Sigma, a method to reduce costs continually and maintain a cost advantage relative to competitors across most of the company's businesses.

3. *Asset health* is how well a company maintains and develops its assets. For land transportation and logistics companies, the share of electric or hybrid vehicles in their fleets can indicate the extent of their exposure to potential tax increases on fossil fuels. For an airline, indicators may be the average lifetime of the current fleet and the resale or trade-in value of decommissioned aircraft. For a refining company, it could be the average time between plant turnarounds. For a hotel or restaurant chain, the average time between remodeling projects may be an important driver of asset health.

Long-Term Value Drivers Long-term value drivers reflect a company's ability to sustain its core business, capture new growth areas, and develop its talent, skills, and culture over the next decade and more. Assessing long-term value drivers often requires more qualitative milestones, such as progress in selecting partners for mergers or for entering a market.¹⁰ In most cases, these drivers affect ROIC and growth through multiple categories of short- and medium-term value drivers. For example, a company's ability to attract and develop talented employees likely affects its future commercial and cost structure health, with higher sales and cost productivity as a result. In another instance, a track record of trading fairly with suppliers could improve a company's reputation with key stakeholders and enable it to charge a price premium for its products or attract more talented employees.

We distinguish two basic categories of long-term value drivers:

1. *Strategic health* consists of a company's ability to sustain its core business and to identify new growth opportunities. For example, the growth of market share captured by new entrants to the sector can be an insightful measure of strategic health for a company. New entrants often rely on radically different business models that incumbents may find hard to compete with. Even small current market shares for such attackers could translate into significant strategic threats over the longer term. Illustrations are found when looking back at the success of Ayden in the payments sector, Booking.com in the travel sector, or Dollar Shave Club and Harry's in razors and personal grooming. Besides guarding against threats, companies must continually watch for new growth opportunities, whether in related industries or in new geographies. A meaningful indicator can be the number of successful ventures or partnerships in new business areas. Examples are the successes of Alibaba and Apple in building new businesses outside their traditional core, such as Alipay and Apple Pay. In the automotive industry, the share of electric vehicle offerings in the development pipeline of a manufacturer could be a meaningful indicator of long-term growth in premium car categories.

¹⁰ See Chapter 1 for a discussion of long-term value creation and the evolving context in which companies view their commitment to shareholders and broader stakeholders. Chapter 6 addresses the challenges of valuing companies' approaches to environmental, social, and governance (ESG) issues.

2. *Organizational health* reflects whether the company has the people, skills, and culture to sustain and improve its performance. Diagnostics of organizational health typically measure the skills and capabilities of a company, its ability to retain its employees and keep them satisfied, its culture and values, and the depth of its management talent. Again, what is important varies by a company's sector and life-cycle stage. E-commerce businesses need entrepreneurial and innovation capabilities in the start-up phase and require more managers and customer-service-oriented staff as they mature. Semiconductor and biotechnology companies need deep scientific innovation capabilities but relatively few managers. Retailers need lots of trained store managers, a few great merchandisers, and in most cases, store staff with a customer-service orientation.

Understanding Value Drivers Pays Benefits

Clearly understanding a business's value drivers has several advantages. If managers know the relative impact of their company's value drivers on long-term value creation, they can make explicit trade-offs between pursuing a critical driver and allowing performance against a less critical driver to deteriorate. This is particularly helpful for choosing between activities that deliver short-term performance and those that build the long-term health of the business. These trade-offs are material: increasing investment for the long term will cause short-term returns to decline, as management expends some of the costs, such as R&D or advertising, in the year they occur rather than the year the investments achieve their benefits. Other costs are capitalized but will not earn a return before the project is commissioned, so they too will suppress overall returns in the short term. Understanding the long-term benefits of sacrificing short-term earnings in this way should help corporate boards support managers in making investments that build a business's long-term capability to create value.

Clarity about value drivers also enables the management team to set priorities so that activities expected to create substantially more value take precedence over others. Setting priorities encourages focus and often adds more to value than efforts to improve on multiple dimensions simultaneously. For example, reducing accounts receivable in telecom services creates value, but far less so than increases in customer retention levels. And improvements in customer retention might well require a company to refrain from cutting back on customer credit. Without an explicit discussion of such priorities and trade-offs, members of the management team could interpret and execute the business strategy in numerous and perhaps incompatible ways.

In general, distinctive strategic management promotes a common language and understanding of value drivers that shape the way top management and employees think about creating value at each level of the organization. For example, in a pharmaceutical company, distinctive strategic management would encourage discussion and coordinated action across the organization about specific steps to increase the speed of product launches, thus accelerating value

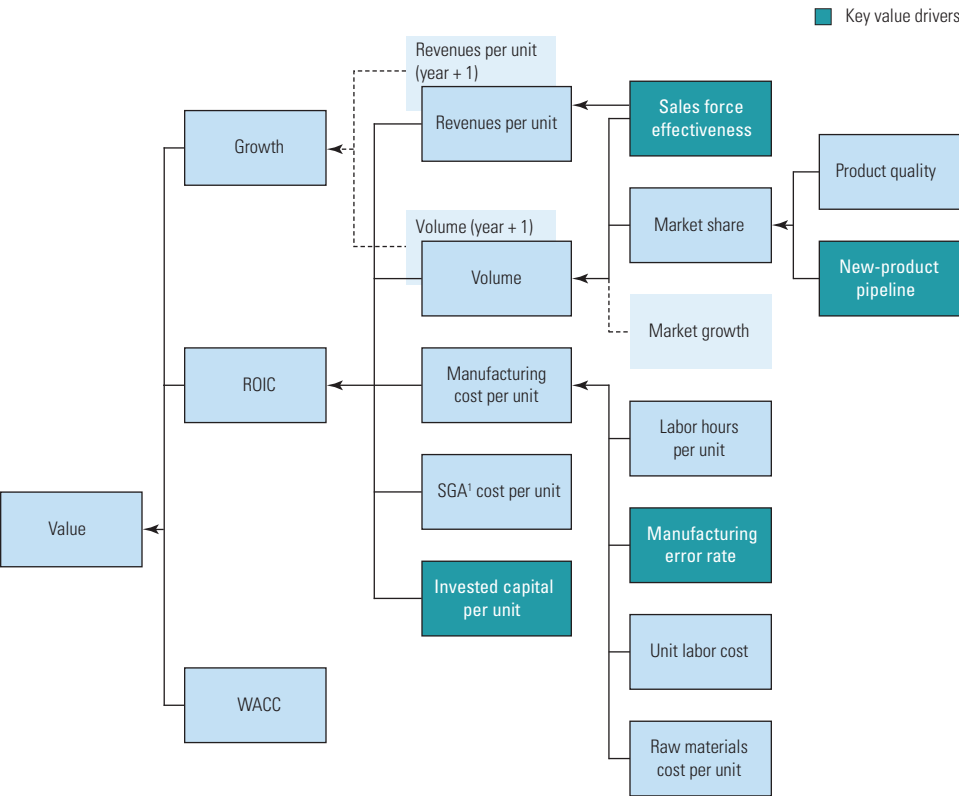
creation. In contrast, strategic management in refining and other commodity-based process industries would focus on operational excellence in terms of capacity utilization and operational expenses.

Creating Actionable Metrics

As we saw in Exhibit 29.4, most value driver trees start on the left side with financial value drivers such as ROIC and growth, and each of these is disaggregated into more specific drivers of business value and operational value, moving from left to right. Where possible, managers and analysts should specify actionable metrics for the value drivers.

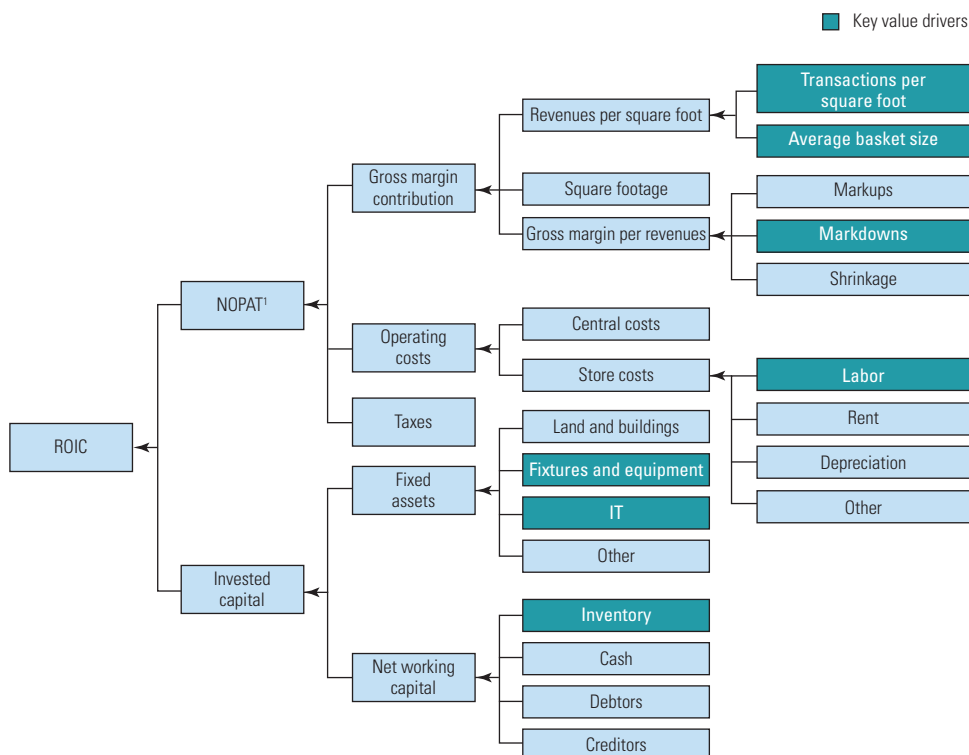
The more a value driver tree is tailored to the business, the more insight it yields about a company's key sources of value creation and how to influence them. Exhibit 29.5 shows a basic value driver tree developed for a manufacturing company. In this example, the key drivers for growth turn out to be sales force effectiveness and new-product pipeline, because of low market growth and strong competition. For return on capital, the key drivers of value are capacity utilization (measured as invested capital per unit) and the

EXHIBIT 29.5 **Basic Value Driver Tree: Manufacturing Company**



¹ Selling, general, and administrative.

EXHIBIT 29.6 Basic Value Driver Tree: Grocery Retailer



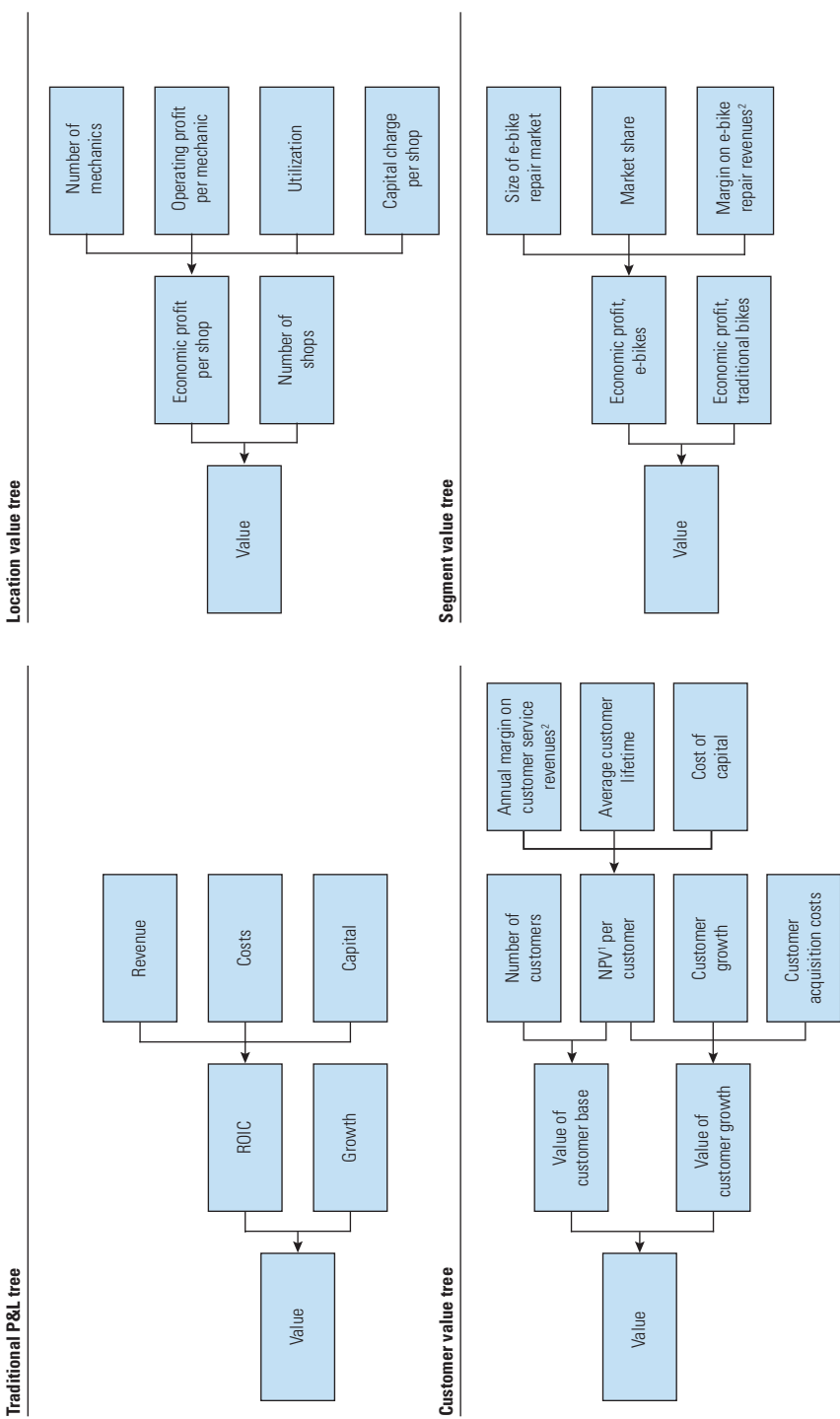
¹ Net operating profit after taxes.

manufacturing error rate. These are important because invested capital is fixed over the next several years, and labor and raw materials costs per unit are very high. In contrast, Exhibit 29.6 shows a value driver tree for a grocery retailer. In this very different example, the key value drivers for gross margin are the average basket size (the number of transactions per square foot is important but always has an upper limit) and the markdown percentage on product prices. For operating costs, labor productivity is key, as most other components are fixed in the near term. Similarly, within invested capital, inventory level is one of the key value drivers; again, most other components are fixed in the near term.

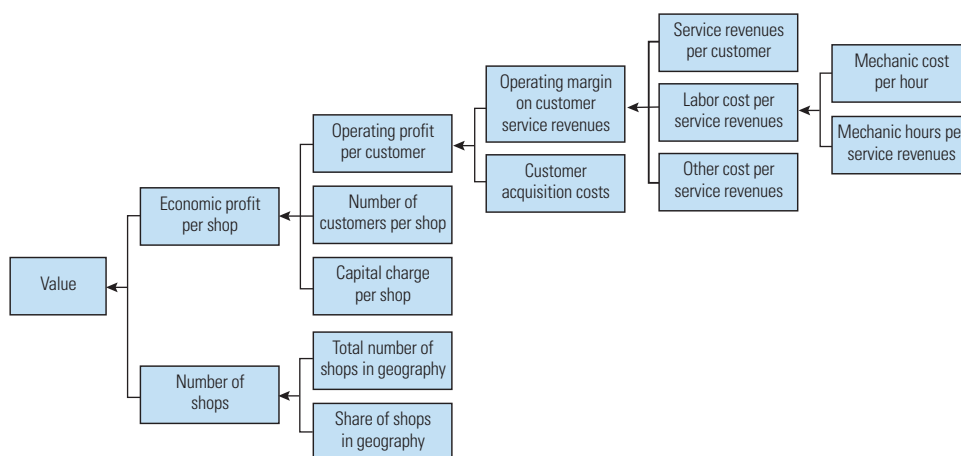
How do you tailor the tree to get such insights? Our experience has taught us that developing different initial versions of trees based on different hypotheses and business knowledge will stimulate the identification of unconventional sources of value. The information from these versions should then be integrated into one tree (or in some cases, a few trees) that best reflects the understanding of the business.

To illustrate this process, we apply it to a hypothetical company running a chain of bicycle repair shops. Exhibit 29.7 shows four different approaches

EXHIBIT 29.7 **Alternative Value Driver Trees for a Bicycle Repair Company**



¹ Net present value.
² Including capital charge.

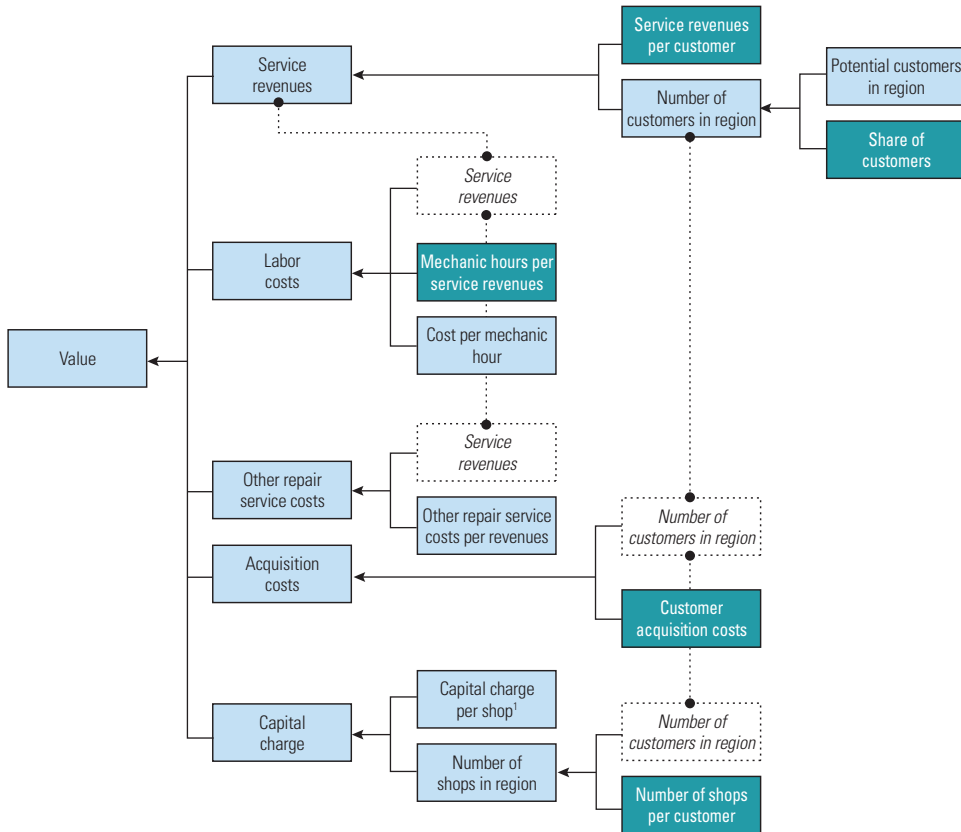
EXHIBIT 29.8 **Combined Location and Customer Value Driver Trees: Bicycle Repair Company**

to developing the short-term portion of a value driver tree for this company. We used these trees to develop the summary short-term value driver tree shown in Exhibit 29.8. Adopting the most useful insights provided by the original four approaches, this tree combines the location and customer value driver trees.

Managers often expect that the most natural and easiest-to-complete tree is one based on a profit-and-loss (P&L) structure. Such a tree, however, is unlikely to provide the insight gained by looking at the business from the perspective of a customer, a shop location, or some other relevant vantage point. For example, in most parts of the world, fuel service stations create much more value per customer from selling food and beverage products than fuel. As a result, the conversion of station visits into food and beverage sales is an even more important value driver than the number of station visits itself.

When you develop value driver trees, pay particular attention to the drivers of growth, because of the lag time between investment in developing a growth opportunity and the eventual payoff. Lag times for opportunities will differ. Continuing the example of the bicycle repair company, Exhibit 29.9 illustrates a value tree created for developing business in a new geographic market. For this opportunity, important value drivers include those associated with building the customer base (such as market share, revenues per customer, customer acquisition costs, and number of shops per customer) and improving employee productivity in the new geography (the number of mechanic hours per dollar of revenues), both of which take time to achieve.

EXHIBIT 29.9 Value Driver Tree for New Geography: Bicycle Repair Company

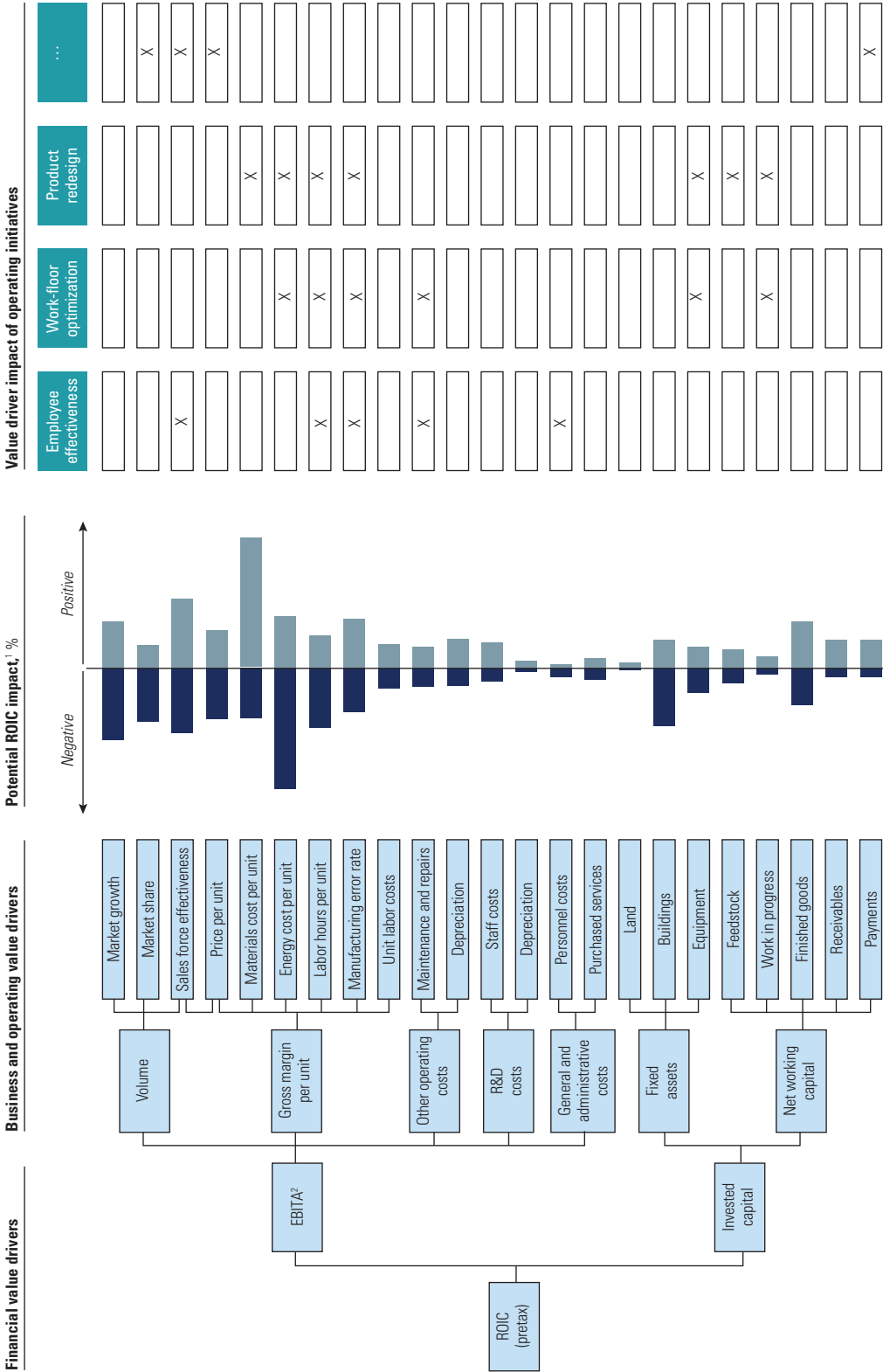


¹ Including other indirect costs.

Carefully disaggregating value drivers helps managers identify and set priorities for operating initiatives to improve a company's performance. Exhibit 29.10 shows the value driver tree for a component-manufacturing company. Financial value drivers such as ROIC are cascaded to business value drivers such as gross manufacturing margin and to operating value drivers such as labor productivity and manufacturing error rates. Understanding what is most critical for value creation at the operating or work-floor level is important and can be expressed in a range of potential upside and downside for ROIC. Carefully aligning various operating initiatives with the value drivers affected enables a systematic comparison and can serve as a basis for deciding which initiatives matter most. For example, initiatives to improve employee effectiveness are linked to sales force effectiveness and thus to sales volume and earnings. Product redesign improves earnings via lowering materials, energy, and/or labor costs.

The tip of every branch of a value tree is a potential value driver, so a full disaggregation would result in many value drivers and metrics, more than

EXHIBIT 29.10 **Aligning Operating Initiatives and Value Drivers: Manufacturing Company**



¹ Potential negative and positive ROIC impact, given the likely range of outcomes for underlying value driver.

² Earnings before interest, taxes, and amortization.

could possibly be helpful for running the company. To be sure that performance management remains practical and effective, managers need to decide at this stage which drivers are the most important for value creation and then should focus on these.

SETTING TARGETS

To make best use of their understanding of key value drivers and to safeguard their company's future health, managers need to agree on objectives for each driver. These targets should be both challenging and realistic enough that managers can take responsibility for meeting them.

Businesses can identify realistic opportunities and set targets by studying world-class competitors' performance on a particular value metric or milestone and comparing it with their own potential. Alternatively, executives can perform a similar analysis of high-performing firms operating in a different but similar sector. For instance, a petroleum company might benchmark product availability in its service station shops against a grocery retailer's equivalents. This is in part how lean manufacturing approaches developed by automakers have been successfully transplanted into many other industries, including retailing and services.

Businesses can also learn from internal benchmarks. This may involve measuring the performance of the same operation at different time periods, or from studying comparable operations in different businesses controlled by the same parent. These measures may be less challenging than external benchmarks, as they do not necessarily involve world-class players. However, the use of internal benchmarks delivers several benefits. The data are likely to be more readily available, since sharing the information poses no competitive or antitrust problems. Also, unearthing the causes of differences in performance is much easier, as the unit heads can visit the benchmark unit. Finally, these comparisons facilitate peer review.

After assessing the data, companies typically arrive at performance targets defined as single points, although ranges can be more helpful. Some companies set a range in terms of base and stretch targets. The base target is set by top management based on prior-year performance and the competitive environment. Managers should meet the base target under any circumstance. The stretch target is a statement of the aspiration for the business and is developed by the management team responsible for delivery. Those who meet their stretch targets are rewarded, but those who miss them are seldom penalized. Using base and stretch targets makes a performance management system much more complex, but it allows the managers of the business units to communicate what they aspire to deliver (and what it would take for them to achieve that goal) without committing themselves to delivery.

The setting of targets must shift at some organizational level below divisions or business units. At some point, accurately allocating key components of invested capital and costs may become impossible. When that occurs, performance targets are best set in terms of particular elements of sales, operating, or capital productivity metrics instead of return on capital itself (see Exhibit 29.4). For example, most consumer electronics companies have concentrated their manufacturing, R&D, and brand-advertising activities in a handful of locations. The invested capital and costs of these centralized activities are largely independent of what happens in individual product and market segments (say, single-serve coffee machines in Southern California). Although some companies allocate the centralized capital and costs to individual segments by their sales volumes or sales revenues, this has little economic relevance.¹¹ Furthermore, segment managers have little or no control over the efficiency of the centralized activities. In situations like these, it is more effective to set targets for underlying value drivers such as market share growth, gross margin, and inventory levels rather than return on capital. Of course, companies should ensure that the targets are consistent with driving aggregate return on invested capital of the business units and divisions encompassing the segments. At some point, expansion of market share and sales will require additional production capacity. Once that point is reached, the associated investments and operating costs need to be factored in for target setting in individual business segments.

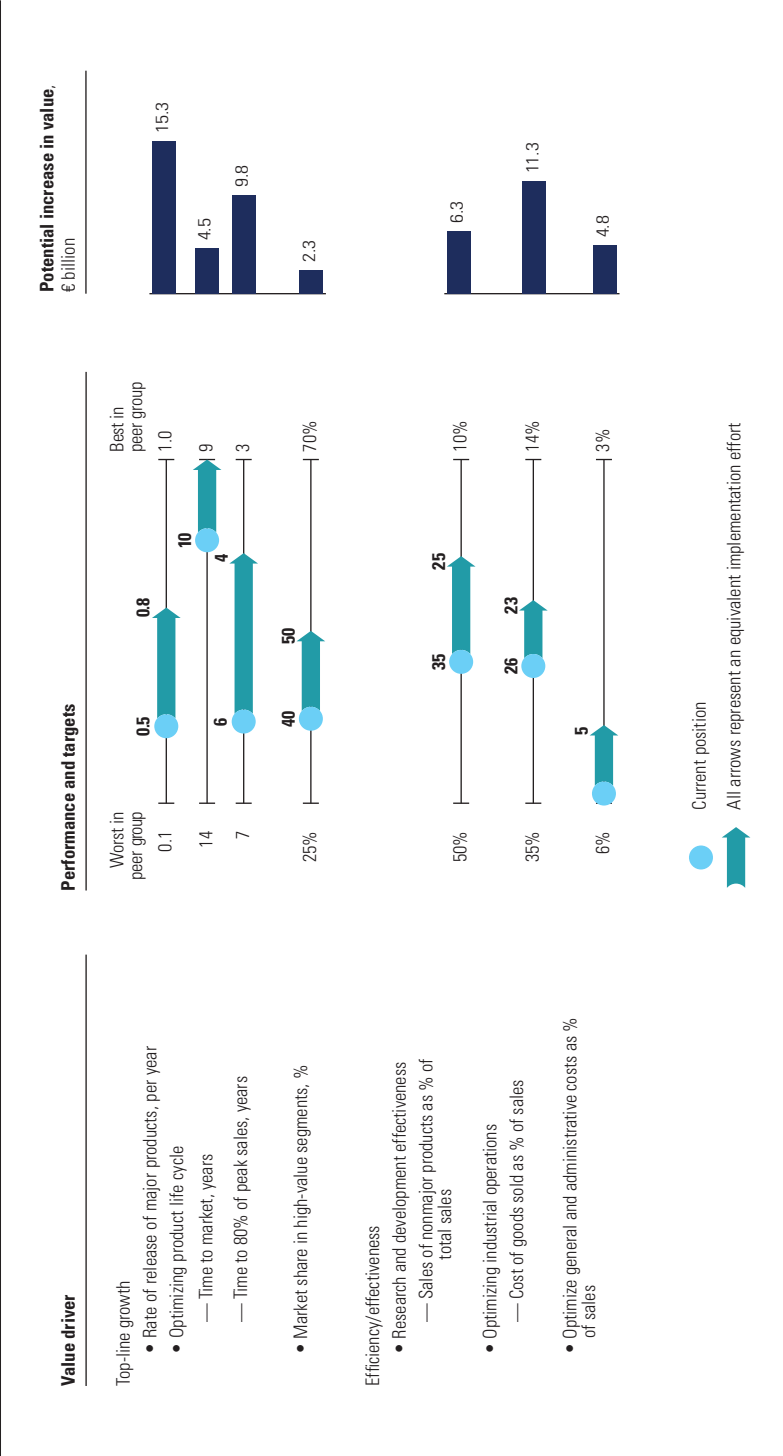
Choosing the right performance metrics lays the groundwork for discovering new insights into how a company might improve its performance in the future. For instance, a hypothetical pharmaceutical company has the key value drivers shown in Exhibit 29.11. For each of these value drivers, the exhibit shows the company's current performance relative to best- and worst-in-class benchmarks, its targets for each driver, and the potential value impact from meeting its targets. The greatest value creation would come from three areas: accelerating the rate of release of new products from 0.5 to 0.8 per year, reducing from six years to four the time it takes for a new drug to reach 80 percent of peak sales, and cutting the cost of goods sold from 26 percent to 23 percent of sales. Some of the value drivers (such as new-drug development) are long-term, whereas others (such as reducing cost of goods sold) have a shorter-term focus.

MONITORING RESULTS

Focusing on the right performance metrics can reveal what may be driving underperformance. A consumer goods company we know illustrates the importance of having a tailored set of key value metrics. For several years, a

¹¹ For example, declining sales in one segment would imply increasing capital allocated to other segments even if their sales would be unchanged.

EXHIBIT 29.11 **Key Value Drivers: Pharmaceutical Company**



business unit showed consistent double-digit growth in economic profit. Since the financial results were consistently strong—in fact, the strongest across all the business units—corporate managers were pleased and did not ask many questions of the business unit. One year, the unit's economic profit unexpectedly began to decline. Corporate management began digging deeper into the unit's results and discovered that for the preceding three years, the unit had been increasing its profit by raising prices and cutting back on product promotion. That created the conditions for competitors to take away market share. The unit's strong short-term performance was coming at the expense of its long-term health. The company changed the unit's management team, but lower profits continued for several years as the unit recovered its position with consumers.

A well-defined and appropriately selected set of key value drivers ought to allow management to articulate how the organization's strategic, marketing, operating, or other initiatives create value. If it is impossible to represent some component of a strategic initiative using the key value drivers, or if some key value driver does not serve as a building block in the initiative, then managers should reexamine the value trees. Similarly, managers must regularly revisit the targets they set for each value driver. As their business environment changes, so will the limits of what they can achieve.

SUMMARY

Strategic management encompasses some of the most important decisions executives make for creating value in a company. One critical element of managing strategically is establishing the analytics to assess performance and investment opportunities. To establish the right analytical base, executives should adopt a fine-grained approach to planning and target setting at the level of individual business segments. Managers should use those granular insights to rank and set priorities for investment opportunities that contribute to value creation for the company as a whole. To monitor performance, managers should move beyond standard financial and operating metrics to apply an approach that identifies what drives both short- and long-term value.

Another critical element of strategic management is establishing processes to orient the organization toward achievement of long-term value creation. That is the subject of the next chapter.

REVIEW QUESTIONS

1. What are the key tasks that senior management must undertake to enable value creation for their firms?
2. Define a granular perspective for performance measurement. Why is this crucial for performance measurement at large companies?
3. What does it mean to take an enterprise view in strategic management? What are its benefits?
4. What are the three categories of short-term value drivers? Provide some examples of potential short-term operating metrics for a company that you are familiar with.
5. What are the three categories of medium-term value drivers? Provide some examples of potential medium-term value drivers for a company that you are familiar with.
6. What are the two categories of long-term value drivers? Provide some examples of potential long-term value drivers for a company that you are familiar with.
7. What is the goal of setting performance targets? What are some of the pitfalls inherent in the way companies sometimes set targets?
8. Construct three different value driver trees for a company, using different branches.